Public-Private Partnership and Investment Act, 2019

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Public-Private Partnership and Investment Act, 2075".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Monitoring and Facilitation Committee" means the Monitoring and Facilitation Committee pursuant to Section 9.

(b) "Permit" means the permit or license granted to implement a project under public-private partnership pursuant to Section 31 and under private investment pursuant to Section 35.

(c) "Permit Holder" means a firm, company or person who has obtained a permit or license to implement a project.

(d) "Consumer" means a person or entity who consumes or uses services or facilities from the infrastructure constructed under public-private partnership or private investment pursuant to this Act.

(e) "Single Point Service Center" means the Single Point Service Center pursuant to Section 46.

(f) "Office" means the Office pursuant to Section 10.

(g) "Fund" means the Fund pursuant to Section 57.

(h) "Board" means the Investment Board pursuant to Section 5.

(i) "Project" means a project relating to infrastructure to be implemented by making investment under public-private partnership pursuant to this Act, and said term also denotes a project to be implemented under private investment.

(j) "Infrastructure" means roads, tunnel ways, bridges, canals, reservoirs, dams, drainage, cable cars, railways, tramways, metro rail, mono rail, sky rail, trolley buses, bus rapid transit, dry ports, waterway transport terminals, airports, hospitals, cold storage, warehouses, public auditoriums, stadiums, generation, transmission and distribution of renewable energy including hydroelectric, biological, gas, solar, thermal and geothermal energy, exhibition centers, amusement parks, waste treatment and management plants, communication and information technology, financial market infrastructure, special economic and industrial zones, agricultural sector, education sector, hotel or tourism sector related infrastructure, and said term also denotes other infrastructure of a similar nature.

(k) "Chief Executive Officer" means the Chief Executive Officer of the Board appointed pursuant to Section 12.

(l) "Tariff" means the service fee charged by the permit holder from the consumer for providing services or facilities.

(m) "Construction" means the work of development, construction or rehabilitation of infrastructure.

(n) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

(o) "Private Investment" means investment made pursuant to Section 32.

(p) "Investment" means the capital flow made in a project through debt or equity or reinvestment or similar types of financial instruments pursuant to this Act.

(q) "Investor" means a firm, company or person who has invested or expressed willingness to invest in a project pursuant to this Act, and said term also denotes a firm, company or person who studies, develops, constructs or operates a project.

(r) "Member" means a member of the Board pursuant to Section 5, and said term also denotes the Chairperson and Vice-Chairperson of the Board.

(s) "Agreement" means the Project Development Agreement, Project Investment Agreement or Concession Agreement or other similar types of agreements entered into between the Government of Nepal, Provincial Government, Local Level or the Board and the investor for implementing a project.

(t) "Concerned Body" means the Board, Government of Nepal, Provincial Government and Local Level or subordinate public bodies implementing and facilitating a project.

(u) "Survey" means the preliminary study, feasibility study, environmental study, detailed feasibility study and detailed project report or other similar types of research or exploration work carried out for implementing a project.

(v) "Public Entity" means an office of the Government of Nepal, Provincial Government or Local Level, an institution or company wholly or substantially owned or controlled by the Government of Nepal or Provincial Government, or other organized institution established at the public level pursuant to prevailing law, or a public institution designated as a Public Entity by the Government of Nepal by publishing a notice in the Nepal Gazette.

(w) "Public-Private Partnership" means the arrangement for implementing a project through any of the methods mentioned in Sub-section (2) of Section 17 for constructing, operating, rehabilitating infrastructure or providing public service in mutual cooperation between the concerned Public Entity and the investor, involving sharing of resources or returns and bearing of risks.

(x) "Public-Private Partnership Directorate" means the Public-Private Partnership Directorate pursuant to Section 14.

(y) "Local Level" means a Rural Municipality or Municipality.

Chapter-2

Provisions Relating to Investment Approval and the Board

3. Investment Approval: Notwithstanding anything contained in the prevailing law, investment approval for projects with an estimated cost of six billion rupees or more shall be granted by the Board. 4. Implementation of Project: (1) The implementation of public-private partnership projects shall be carried out by the following

bodies:-

(a) the concerned Local Level, if the project falls within the jurisdiction of the Local Level pursuant to prevailing federal law,

(b) the concerned Provincial Government, if the project falls within the jurisdiction of the Provincial Level pursuant to prevailing federal law,

(c) the concerned Ministry or body, if the project, among those falling under the jurisdiction of the Federation pursuant to prevailing federal law, is a project other than energy projects including hydropower with an estimated cost up to six billion rupees, or an energy project including hydropower with a capacity up to two hundred megawatts,

(d) the Board, if the project is a project other than energy projects including hydropower with an estimated cost exceeding six billion rupees, or an energy project including hydropower with a capacity exceeding two hundred megawatts.

(2) Notwithstanding anything contained in Sub-section (1), a project identified and list approved by any body pursuant to prevailing law may be implemented through mutual understanding or agreement between the concerned body and the Board.

(3) Notwithstanding anything contained in Clauses (a) and (b) of Sub-section (1), provisions relating to making foreign investment in projects falling under the jurisdiction of the Local or Provincial Level shall be as per federal law.

(4) While implementing a project pursuant to Clause (d) of Sub-section (1), the Board shall coordinate with the concerned body. 5. Formation of Board: (1) There shall be an empowered Investment Board to perform functions including promoting investment by mobilizing domestic or foreign resources to construct infrastructure and develop the service sector.

(2) The Board pursuant to Sub-section (1) shall be formed as follows:-

(a) Prime Minister - Chairperson

(b) Minister of Finance - Vice-Chairperson

(c) Minister of Industry, Commerce and Supplies - Member

(d) Minister of Forests and Environment - Member

(e) Minister of Energy, Water Resources and Irrigation - Member

(f) Minister of the Ministry concerned with the project - Member

(g) Vice-Chairperson of the National Planning Commission - Member

(h) Governor of Nepal Rastra Bank - Member

(i) Chief Secretary of the Government of Nepal - Member

(j) Three persons, including at least one woman, nominated by the Board from among experts in the fields of industry, tourism, infrastructure development, commercial law and finance - Member

(k) Chief Executive Officer of the Office - Member-Secretary

6.

Appointment, Term of Office and Removal of Members: (1) The members pursuant to Clause (j) of Sub-section (2) of Section 5 shall be nominated by the Chairperson of the Board.

(2) The term of office of the members pursuant to Sub-section (1) shall be four years. They may be reappointed.

(3) Notwithstanding anything contained in Sub-section (2), the Chairperson may remove any nominated member from office at any time. Provided that, before such removal, such person shall not be deprived of an opportunity to submit a defense.

(4) If any member is removed pursuant to Sub-section (3) or resigns from office, another person may be nominated in their place for the remaining term. 7. Provisions Relating to Meetings: (1) A meeting of the Board shall be held on such date, place and time as specified by the Chairperson.

(2) The meeting pursuant to Sub-section (1) shall be held at least six times in a fiscal year, and the interval between two meetings shall not exceed two months.

(3) The meeting of the Board shall be chaired by the Chairperson of the Board, and in their absence, by the Vice-Chairperson of the Board.

(4) The Board may invite the Secretary of the Ministry concerned with the project, any officer of the Government of Nepal or an expert to the meeting of the Board.

(5) In discussions concerning projects included in the agenda of the Board meeting, the Chief Minister of the concerned Province or the head of the Local Level may be invited.

(6) The decisions of the Board shall be recorded and authenticated by the Member-Secretary.

(7) Other procedures relating to the meeting of the Board shall be as determined by the Board itself. 8.

Functions, Duties and Powers of the Board: The functions, duties and powers of the Board shall be as follows:- (a) to formulate or cause to formulate policies relating to projects to be implemented under public-private partnership and private investment, and investment, (b) to collect details of feasible projects and prepare or cause to prepare a list of studies and projects of such projects, (c) to select or cause to select projects of a competitive or special priority nature among projects to be implemented through public-private partnership or the private sector, (d) to assess and evaluate the basis of technical and financial capacity and timely project completion with transparency, cleanliness and assurance of competition for projects selected for competitive implementation, and prepare a pre-qualification list of such projects, call for proposals, evaluate proposals, approve projects, approve investment, and negotiate with proponents of such projects as necessary and enter into or cause to enter into agreements, (e) to enter into or cause to enter into agreements for the development, construction and operation of projects selected for implementation as projects of special priority through negotiation, (f) to study unsolicited proposals received directly by the Board as necessary, grant survey permits, forward them to the concerned body for permits, licenses, right of way required by law for the project mentioned in such proposals, grant investment approval and consent, or negotiate with the proponent and enter into or cause to enter into agreements, (g) to monitor or cause to monitor whether approved projects are constructed, implemented or operated according to studies and the agreement, (h) to perform blended finance related work in the areas of infrastructure construction and project development including investment, (i) to recommend to the Government of Nepal to provide economic or non-economic facilities, (j) to coordinate and facilitate the purchase or lease of land exceeding the ceiling limit required for approved projects, (k) to grant or cause to grant permission for the environmental impact assessment study of approved projects by completing the prescribed process, if forest and environment related permission is required, (l) to approve Project Development Agreements, Project Investment Agreements and Concession Agreements, (m) to write to the concerned body for permits, licenses and approvals required pursuant to prevailing law for implementing approved projects, (n) to cooperate with concerned bodies of the Government of Nepal to create an investment-friendly environment and develop Nepal as a destination for foreign investment, (o) to recommend to the Government of Nepal regarding negotiating bilateral investment agreements and investment promotion related matters including double taxation relief with countries deemed appropriate by the Board to attract foreign investment, or establishing mechanisms, or causing to do so, (p) to provide or cause to provide necessary expert services and coordinate and facilitate the Government of Nepal and other related bodies regarding the implementation of projects and investment for constructing, operating, rehabilitating or upgrading infrastructure or providing public service under direct foreign investment or public-private partnership, (q) to coordinate or cause to coordinate between the concerned Ministry, Province, Local Level and government and private sectors for project development, investment promotion and project implementation, (r) to provide or cause to provide prompt decisions and expeditious services for the implementation of approved projects, (s) to approve the annual program and budget of the Board, (t) to prepare a list of investors who have successfully implemented projects and, as necessary, create competition among such investors or pre-qualified investors for implementing new projects, (u) to mobilize or cause to mobilize diplomatic missions abroad and the Office to carry out publicity and interaction with foreign investors and other necessary functions for promoting foreign investment, establishing cooperation and coordination, (v) to provide or cause to provide services from the Single Point Service Center to attract foreign investment and for any project established and operated under such investment, (w) to monitor or cause to monitor project implementation according to the agreement after financial management is completed pursuant to the agreement, (x) to collect fees and charges as prescribed in return for granting permission or license to investors or for services and facilitation provided by the Board for project development, (y) to construct or cause to construct necessary infrastructure for projects facilitated or to be facilitated by the Board through investors as prescribed, (z) to perform other functions as prescribed.

9. Monitoring and Facilitation Committee: (1) There shall be a Monitoring and Facilitation Committee as follows to monitor and facilitate the implementation of projects implemented pursuant to this Act:-

(a) Vice-Chairperson of the Board - Coordinator

(b) Secretary, Office of the Prime Minister and Council of Ministers (looking after Economic and Infrastructure Development subjects) - Member

Added by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2024.(b1) Secretary, Ministry of Finance - Member

(c) Secretary, Ministry of Forests and Environment - Member

(d) Secretary, Ministry of Energy, Water Resources and Irrigation - Member

(e) Secretary, Ministry of Industry, Commerce and Supplies - Member

(f) Secretary, National Planning Commission - Member

(g) Secretary, Ministry concerned with the project - Member

(h) Chief Executive Officer - Member

(i) One person designated by the Chairperson of the Board from among the members pursuant to Clause (j) of Sub-section (2) of Section 5 - Member Amended by the Act to Amend Some Nepal Acts, 2025.

(j) Chief of the Public-Private Partnership Directorate of the Board - Member-Secretary

(2) The functions, duties and powers of the Monitoring and Facilitation Committee pursuant to Sub-section (1) and provisions relating to its meetings shall be as prescribed. 10. Office of the Board: (1) There shall be an Office of the Investment Board to function as the Secretariat of the Board.

(2) The organizational structure and staff positions of the Office shall be as approved by the Government of Nepal upon the recommendation of the Board Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Investment Enhancement, 2024..

(3) Omitted by the Act to Amend Some Nepal Acts relating to Investment Facilitation, 2024

(4) The Office may, with the approval of the Board, obtain the services of advisors or experts. The scope of work, terms, remuneration and facilities of such advisors or experts shall be as determined by the Board. 11.

Functions, Duties and Powers of the Office: The functions, duties and powers of the Office shall be as follows:- (a) to perform functions including identification of projects under the public-private partnership concept, survey, selection of developers for implementation, and monitoring, (b) to facilitate functions including the construction, operation and management of projects to be implemented under the public-private partnership concept and private investment, (c) to negotiate with the proponent or investor and enter into agreements based on the terms approved by the Board and the draft agreement involved in the call for proposals, (d) to facilitate the investor for project implementation in accordance with the agreement, (e) to resolve problems encountered in project implementation, (f) to coordinate with public entities, provinces, local levels including the private sector for the implementation of approved projects, (g) to arrange for the availability of economic or non-economic facilities to be obtained by approved projects, (h) to submit measures for improvement to the Board if facilities provided for any sector or project are found to be insufficient or investment is found to be discouraged due to any other reason, (i) to monitor the implementation of projects and recommend to the Board to take necessary action or cancel the permit if the project is not being implemented according to the schedule, (j) to submit suggestions to the Board if it is deemed necessary to pay special attention to any particular investment sector or sub-sector, (k) to perform functions relating to the protection of domestic and foreign investment and investment promotion, (l) to conduct studies and research on public-private partnership and investment, (m) to perform administrative and other functions falling within the jurisdiction of the Board and assigned by the Board through its decision. 12.

Chief Executive Officer: (1) There shall be a Chief Executive Officer to conduct the daily administration and perform the functions of the Board. (2) The Chief Executive Officer shall be the chief administrative officer working full-time for the Board, and their remuneration and other facilities shall be as prescribed by the Government of Nepal. (3) A Nepali citizen who has obtained at least a master's degree in economics, management, commerce, law, engineering or development studies from a recognized educational institution and has acquired at least ten years of managerial experience in the field of project development, public procurement, public-private partnership, investment promotion, development administration, banking, financial sector, or industrial management shall be deemed eligible for appointment to the position of Chief Executive Officer. (4) The following person shall not be eligible for appointment to the position of Chief Executive Officer of the Board:- (a) one who has been convicted by a court of a criminal offense involving moral turpitude such as corruption, theft, human trafficking and transportation, or rape, (b) one who is on the blacklist pursuant to prevailing law, during such period, (c) one who has not completed the age of thirty-five years, (d) one who has exceeded the age of sixty-five years. (5) There shall be a three-member recommendation committee chaired by the Vice-Chairperson of the Board and comprising the Vice-Chairperson of the National Planning Commission and a subject expert designated by the Government of Nepal to recommend to the Government of Nepal for the appointment of the Chief Executive Officer. (6) The committee pursuant to Sub-section (5) shall, on a competitive basis, complete the prescribed procedure and recommend three persons to the Government of Nepal for the appointment of the Chief Executive Officer. (7) The Government of Nepal, Council of Ministers, shall appoint one of the persons recommended pursuant to Sub-section (6) to the position of Chief Executive Officer. (8) The term of office of the Chief Executive Officer shall be four years, and they may be reappointed for one additional term. (9) The position of Chief Executive Officer shall become vacant in the following circumstances:- (a) if they become disqualified pursuant to Sub-section (4), (b) if their resignation submitted through the Board to the Government of Nepal, Council of Ministers is approved, (c) if the Government of Nepal, Council of Ministers removes them due to lack of competence, misconduct, or unsatisfactory level of performance, (d) upon the expiry of their term of office, (e) upon their death, (f) upon reaching the age of sixty-five years. (10) Before removal pursuant to Clause (c) of Sub-section (9), they shall be given an opportunity to submit a defense Amended by the Act to Amend Some Nepal Acts, 2025.. (11) A person appointed as Chief Executive Officer shall not, for a period of five years from the date of expiry of their term, become involved in any project for which a permit was issued and investment approved pursuant to this Act during their tenure in the Board.

13. Functions, Duties and Powers of the Chief Executive Officer: (1) In addition to the functions, duties and powers mentioned in this Act, the other functions, duties and powers of the Chief Executive Officer shall be as follows:-

(a) to prepare the list of proposals to be submitted to the meeting of the Board,

(b) to submit proposals for project approval to the Board and proceed with the necessary process,

(c) to implement or cause to implement the decisions and directives of the Board,

(d) to prepare the annual budget and program of the Board and Office and submit them to the Board for approval,

(e) to monitor, review and evaluate the implementation of projects approved for implementation by the Board,

(f) to perform other functions assigned by the Board. 14. Public-Private Partnership Directorate: (1) There shall be a Public-Private Partnership Directorate in the Office to conduct feasibility studies of projects to be implemented under the public-private partnership concept, select investors, and facilitate public entities in the construction, operation and other matters of projects.

(2) The functions, duties and powers of the Public-Private Partnership Directorate shall be as follows:-

(a) to develop strategies, procedures and directives on policy matters relating to public-private partnership and submit them to the Board,

(b) to provide opinions, suggestions or advice and guidance to investors implementing public-private partnership projects,

(c) to prepare and call for expressions of interest, pre-qualification and request for proposals, and draft project agreements relating to public-private partnership,

(d) to prepare and update a project bank of approved projects to be operated under public-private partnership,

(e) to evaluate feasibility studies and project preparation related details of projects to be implemented under public-private partnership and provide feedback,

(f) to monitor and evaluate the implementation status of projects operated under public-private partnership and provide opinions, feedback and suggestions,

(g) to prepare and implement the process for selecting partners for projects to be implemented under public-private partnership,

(h) to conduct regular research on international public-private partnership best practices and experiences and adopt subjects suitable for the public-private partnership framework in Nepal,

(i) to provide necessary support to investors in the preparation and implementation of projects to be implemented under public-private partnership,

(j) to collect and archive information related to public-private partnership projects,

(k) to perform other functions assigned by the Board or the Office.

(3) The formation, organizational structure and other provisions of the Public-Private Partnership Directorate shall be as prescribed. 15.

Investment Promotion and Facilitation Directorate: Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Investment Enhancement, 2024. (1) There shall be an Investment Promotion and Facilitation Directorate in the Office Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Investment Enhancement, 2024. to coordinate, cooperate and facilitate the promotion of investment in projects implemented pursuant to this Act and for an investment-friendly environment. (2) The functions, duties and powers of the Investment Promotion and Facilitation Directorate Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Investment Enhancement, 2024. pursuant to Sub-section (1) shall be as follows:- (a) to formulate policies relating to projects to be implemented under private investment and investment and submit them to the Board, (b) to study feasible projects that can be implemented under private investment and prepare a project list, (c) to conduct necessary studies regarding unsolicited proposals received directly by the Board and write to the concerned body to grant necessary permits and licenses for the same, (d) to prepare drafts of concession agreements including the Project Investment Agreement and letters of understanding, (e) to coordinate between public entities and the private sector for project development, investment promotion and project implementation, (f) to prepare the basis for selecting developers of projects under private investment, (g) to conduct studies and research on investment, Investment Unit, (h) to prepare details of comparative advantages in the context of foreign investment, (i) to prepare details of potential investors and address investment-related inquiries of potential investors, (j) to perform other functions assigned by the Board or the Office. (3) The formation, organizational structure and other provisions of the Investment Promotion and Facilitation Directorate Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Investment Enhancement, 2024. shall be as prescribed. 16. Expert Committee or Task Force: (1) The Office may, by specifying the terms of reference and procedure, form an expert committee or task force comprising experts in the relevant field to study and analyze any specific technical aspect of project investment and provide suggestions. (2) The facilities of members and office bearers pursuant to Sub-section (1) shall be as specified by the Office. Chapter-3 Public-Private Partnership 17.

Project may be implemented: (1) Any infrastructure related project may be implemented through public-private partnership. (2) While implementing a project through public-private partnership pursuant to Sub-section (1), any of the following methods may be adopted:- (a) Build and Transfer, (b) Build, Operate and Transfer, (c) Build, Own, Operate and Transfer, (d) Build, Transfer and Operate, (e) Lease, Operate and Transfer, (f) Lease, Build, Operate and Transfer, (g) Develop, Operate and Transfer, (h) Management, Operate and Transfer, (i) Rehabilitate, Operate and Transfer, Explanation: For the purpose of this clause, "Rehabilitate" means the work of rehabilitating existing infrastructure by repairing, expanding or reconstructing it. (j) Any other similar method. (3) While implementing a project pursuant to Sub-section (2), a project may be implemented in any one or more of the phases of construction, operation, rehabilitation, maintenance and expansion of any project. 18. Projects not to be implemented: Notwithstanding anything contained elsewhere in this Act, the following projects shall not be implemented through public-private partnership:- (a) a project operated with the objective of obtaining any work or service from the private sector without transferring financial, technical or operational risks to the private sector, (b) a project related to national security, (c) other projects specified by the Board. 19. Determination of Priority: The priority areas for projects to be implemented through public-private partnership shall be as determined by the Board. 20. Project Identification: (1) The concerned body shall identify projects that can be implemented under public-private partnership and prepare a list. (2) While preparing the list pursuant to Sub-section (1), the concerned body shall determine priorities based on whether a survey or other study of the project has been conducted and other details as prescribed. (3) While identifying projects and determining the list pursuant to this Section, the Board may be consulted on technical and financial matters. 21. Project to be approved: (1) Regarding the implementation of projects identified and listed pursuant to Section 20, approval must be obtained from the Board or the concerned body according to the jurisdiction. (2) While obtaining project approval pursuant to Sub-section (1), if it is to be implemented under public-private partnership, the details of which of the methods mentioned in Section 17 can be used for implementation must be specified. (3) If more than one project of the same nature under a public entity are to be implemented under public-private partnership, while obtaining project approval pursuant to this Section, such projects must be re-prioritized. 22. Publication of Project List: After the project is approved pursuant to Section 21, the concerned body shall publish the list of projects. 23.

Call for Expression of Interest: (1) For the study-permit, survey or implementation of a project approved pursuant to Section 21, the concerned body shall publish a public notice and call for expressions of interest. (2) The notice pursuant to Sub-section (1) shall specify the following details:- (a) the office or body to which the expression of interest is to be submitted, (b) the period for submitting the expression of interest, (c) details to be mentioned in the expression of interest, (d) documents to be attached with the expression of interest, (e) the technical and financial capacity of the proponent, (f) other details as prescribed. 24. Submission of Expression of Interest: A person wishing to conduct a study-permit, survey or implementation of a project shall, subject to the prescribed conditions, submit an expression of interest to the concerned body within the period mentioned in the notice pursuant to Section 23. 25. Preparation of Shortlist: After receiving expressions of interest pursuant to Section 24, the concerned body shall evaluate them on the prescribed basis and prepare a shortlist of proponents according to the prescribed procedure. 26. Call for Proposals: (1) After preparing the shortlist pursuant to Section 25, the concerned body shall publish a public notice and call for proposals from the proponents on the shortlist, specifying the subjects as prescribed. (2) A proponent wishing to submit a proposal pursuant to Sub-section (1) shall, specifying the details as prescribed, submit the proposal to the concerned body within the period mentioned in the notice. 27. Selection of Proposal: (1) After receiving proposals pursuant to Sub-section (2) of Section 26, the concerned body shall form an evaluation committee as prescribed and select a proposal within the prescribed period based on the following:- (a) the technical proposal including the basis for completing construction within the prescribed time, (b) if there is a royalty amount to be paid to the concerned body, the proposed royalty amount, (c) the financial proposal specifying matters including the proposed tariff to be charged from consumers while implementing the project. (2) After selecting a proposal pursuant to this Section, the concerned body shall inform the proponent within the prescribed period. (3) Other provisions relating to the selection of proposals pursuant to this Section shall be as prescribed. 28. Unsolicited Proposal: (1) Notwithstanding anything contained elsewhere in this Act, a proponent may themselves submit a proposal to the concerned body for implementing a project through public-private partnership, in the prescribed basis, fee and format.

Explanation: For the purpose of this Section, "Unsolicited Proposal" means a proposal submitted by an investor themselves expressing intent to develop a project in a situation where the concerned body has not issued a public notice. (2) While submitting a proposal pursuant to Sub-section (1), the following subjects must be mentioned:- (a) details of the project, (b) details (profile) including the technical and financial capacity of the proponent, (c) if a preliminary feasibility study report of the project exists, such report, (d) proposed business plan, (e) technology to be used in the project, (f) details of potential benefits from the project. (3) Based on the recommendation of the evaluation committee pursuant to Sub-section (1) of Section 27, a license may be granted for the study and survey permit or project development or operation of such project, for proposals received pursuant to Sub-section (1), after completing the prescribed procedure and in the prescribed format. (4) While evaluating a project proposal received pursuant to Sub-section (1), if it appears beneficial to proceed with the project to be constructed under public-private partnership on a competitive basis, the same proposal may be subjected to competition according to the procedure specified by the concerned body based on the Swiss Challenge. Explanation: For the purpose of this Section, "Swiss Challenge" means the method by which, when the concerned body receives an unsolicited proposal for any service sector or public project such as roads, rails, the received proposal is evaluated by calling for or publicizing proposals from third parties as well through any method or procedure with the intention of potentially receiving a better proposal than the said proposal. (5) If, during negotiation on a proposal pursuant to Sub-section (1), the proposal of any other proponent is accepted, the proponent whose proposal is accepted may provide reimbursement to the proponent pursuant to Sub-section (1) for the initial expenses incurred during project development and, if any expenses of the concerned body were incurred during the study and development, such expenses as well, as prescribed. 29.

Project may be implemented through negotiation: (1) Notwithstanding anything contained in this Act, if a proposal could not be selected even after calling for expressions of interest or proposals at least twice, such project may be implemented by the concerned body directly through negotiation. (2) Notwithstanding anything contained in Sub-section (1), if it appears reasonable to implement any project through negotiation due to any of the following reasons, such project may be implemented by the concerned body through negotiation after completing the prescribed procedure:- (a) a project where there is no possibility of competition economically and technically due to the nature or cost of the project, (b) a project involving a new concept or technology, (c) a project selected for implementation based on national priority, (d) projects for which it is not deemed appropriate to adopt other procedures under this Act. (3) A proponent wishing to implement any project through negotiation pursuant to Sub-section (1) shall submit a proposal to the concerned body specifying the prescribed subjects. (4) The concerned body may approve the implementation of a project through negotiation after conducting a detailed evaluation of the proposal pursuant to Sub-section (3) as prescribed. 30. Detailed Feasibility Study of Project through Negotiation: (1) Notwithstanding anything contained in this Act, a person wishing to conduct a detailed feasibility study of a project for which no detailed feasibility study has been done may submit an application to the Office for permission for the same. (2) If, upon inquiry into the application submitted pursuant to Sub-section (1), it appears reasonable to grant permission for a detailed feasibility study, the Office may, after negotiation with the applicant, grant permission to conduct or cause to conduct a detailed feasibility study of such project. (3) The expenses incurred in conducting or causing to conduct a detailed feasibility study pursuant to Sub-section (2) shall be borne by the person conducting or causing to conduct such detailed feasibility study themselves. (4) If, in a situation where competition is held for the implementation of a project for which a detailed feasibility study has been conducted pursuant to this Section, the person conducting or causing to conduct the detailed feasibility study pursuant to Sub-section (2) is not selected, the person selected for and whose proposal is approved for the implementation of such project shall bear the expenses incurred by the said person in conducting or causing to conduct the detailed feasibility study of the project. (5) The amount to be borne pursuant to Sub-section (4) shall be determined by an independent evaluator. (6) Based on the study report prepared regarding the project pursuant to this Section, such project shall be implemented pursuant to this Act. 31.

Permit to be granted: (1) After selecting or approving a proposal pursuant to Sections 27, 28 and 29, the concerned body shall enter into an understanding with the proponent on the prescribed conditions and format and grant a study permit for the project. (2) While entering into an understanding pursuant to Sub-section (1), a performance bond as prescribed shall be obtained for the purpose of completing the work within time. (3) Notwithstanding anything contained in the prevailing law, where a project is approved 46. Single Point Service Center: (1) For the purposes of conducting activities including project survey permission, memorandum of understanding, investment permission or agreement for a project to be implemented under this Act, and for assisting and facilitating the project, a Single Point Service Center may be established at the Office. (2) The Single Point Service Center established pursuant to Sub-section (1) shall have employees working on a full-time or part-time basis, with representation from the concerned ministries, departments, authorities, public enterprises, Nepal Rastra Bank and other bodies of the Government of Nepal. (3) The functions, duties and powers of the Single Point Service Center shall be as follows: (a) To evaluate proposals received for investment and forward the necessary process for approval, (b) To provide company registration, tax registration, industry registration, foreign exchange permission and other registrations, permissions and approvals, (c) To coordinate and facilitate for the provision of labor permits, visas, permits, (d) To facilitate in the acquisition of private land required for the project, (e) To provide government land or forest area land required for the project on lease after completing the process according to the prevailing law, (f) To arrange for the provision of approval for environmental studies, (g) To facilitate works including infrastructure construction required for the project, (h) To provide economic and non-economic facilities as prescribed according to the prevailing law and agreement, (i) To arrange for the provision of foreign currency exchange facility, (j) To undertake other coordination and facilitation works required for the project. Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(4) The Board shall formulate and implement the procedure relating to the operation of the Single Point Service Center. Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(5) The Single Point Service Center established at the Office of the Board shall have employees deployed from the concerned stakeholder bodies with authority to make decisions according to the prevailing law. Added by the

Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.46A.

Automated Electronic System May Be Used: An automated electronic system may be used to expedite the registration, approval and implementation process of projects operated through the Board. 47. Land Acquisition: (1) The licensee shall himself/herself arrange for the land required for the implementation of the project. (2) If the licensee pursuant to Sub-section (1) requests the Board for land acquisition, the Board shall provide necessary facilitation to acquire such land according to the prevailing law. (3) While acquiring land pursuant to Sub-section (2), the licensee shall bear the compensation and damages payable to the landowner according to the prevailing law. (4) Notwithstanding anything contained elsewhere in this Section, if land owned by the Government of Nepal is required for the implementation of a project, the Board may, with the approval of the Government of Nepal, allow the use of such land on lease or rent. (5) Where the Government of Nepal has acquired land for a project pursuant to Sub-section (3), the Government of Nepal may, for the purpose of distributing compensation for such land, establish a Land Acquisition Fund within the Board and distribute or cause to distribute the compensation for land through such Fund. (6) The amount of compensation distributed from the Fund pursuant to Sub-section (5) may be reimbursed to the Government of Nepal by the licensee as mentioned in the agreement. 48. Security of the Project: (1) If the licensee requests the Board for the security of the project, the Board may recommend to the Government of Nepal to make arrangements for the security of such project, with the expense thereof being borne by the licensee. (2) If the Board makes a recommendation pursuant to Sub-section (1), the Government of Nepal may make necessary arrangements for the security of the project. 49. Assistance to be Provided: (1) In the course of implementing the project, the Board or the Government of Nepal, Provincial Government and Local Level shall provide or cause to be provided the assistance, approval or work to be done for the licensee as prescribed, within the period mentioned in the agreement. (2) If the licensee requests any assistance in the course of implementing the project, and if such assistance can be provided according to the prevailing law, the Board may itself provide such assistance or write to the concerned body of the Government of Nepal, Provincial Government or Local Level to provide such assistance, with the expense and liability to be borne by the licensee. 50.

Board to Write: (1) If, upon an application for a license, permit or approval required according to the prevailing law to implement a project approved under this Act, the concerned body does not provide such license, permit or approval within the period prescribed by the prevailing law, the concerned person may file an application to the Board stating such fact. (2) If the application filed pursuant to Sub-section (1) appears reasonable, the Board may write to the concerned body or official to provide the license, permit or approval according to the prevailing law, specifying a time limit. (3) Upon receiving a letter pursuant to Sub-section (2), the concerned body or official shall provide the license, permit or approval according to the prevailing law within such time limit and inform the Board thereof. 51. Provincial or Local Level May Implement Project: (1) Provincial or Local Levels may implement projects falling within their respective areas under public-private partnership pursuant to this Act. (2) If any project to be implemented by the Board under this Act appears suitable for implementation by a Provincial or Local Level, the Board may grant approval to such Provincial or Local Level to implement such project under public-private partnership. (3) When a Provincial or Local Level implements a project under public-private partnership, it may request necessary advice and consultation from the Public-Private Partnership Directorate, and upon such request for advice and consultation, the Directorate shall provide such advice and consultation. (4) Notwithstanding anything contained in Sub-section (1), if a project to be implemented under public-private partnership by a Provincial or Local Level involves the use of funds from the Viability Gap Fund, such Provincial or Local Level shall implement such project only after obtaining the approval of the Ministry of Finance upon the recommendation of the Investment Board. 52. Provision Relating to Visa: (1) Notwithstanding anything contained in the prevailing law, a non-tourist visa of up to six months shall be granted to foreign nationals coming to conduct study, research or survey of a project licensed under this Act. (2) A foreign investor investing in a project, or one authorized representative Amended by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.or family members of such investor or representative, and foreign workers and employees who have obtained labor permits according to the prevailing law and work in such project, shall be granted a visa to stay in Nepal as long as foreign investment remains in the project according to the prevailing law.

Explanation: For the purposes of this Section, "family members" means the husband or wife, mother, father and dependent sons and daughters of the foreign investor or his/her authorized representative.

(3) The Office shall provide recommendations for a visa to the concerned body for the persons mentioned in Sub-section (2), considering necessity and justification. 53. May Prescribe Terms of Service and Facility: (1) While providing service and facility to consumers, the licensee may prescribe necessary terms, subject to this Act, decisions made by the Board, prevailing law and the agreement.

(2) A consumer shall not be entitled to avail service and facility contrary to the terms prescribed pursuant to Sub-section (1). 54. Royalty to be Paid: The licensee shall pay the royalty as per the agreement to the concerned body in accordance with the terms mentioned in the agreement. 55. Project to be Transferred: (1) Projects implemented under public-private partnership shall be transferred to the concerned body as mentioned in the agreement.

(2) Upon transfer of the project pursuant to Sub-section (1), the machines, equipment, structures and other similar items and systems installed in such project shall be in the capacity condition and working order as mentioned in the agreement.

(3) Other provisions relating to project transfer shall be as prescribed. 56. Ownership: The ownership of the project transferred under this Act and the machines, equipment and other structures installed in such project and the buildings, houses and other similar items and systems related to the project shall vest in the concerned body. Chapter-8
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57. Fund of the Board: (1) The Board shall have its own separate Fund.

(2) The Fund referred to in Sub-section (1) shall comprise the following amounts:

(a) Amounts received from the Government of Nepal,
(b) Grant and aid amounts received from foreign governments or international organizations and institutions,
(c) Fees and service charges received from investors under this Act,
Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(d) A certain portion of the income accruing to the Government of Nepal from projects implemented through the Board, set aside by the Annual Appropriation Act.

(3) Prior to receiving the amount pursuant to Clause (b) of Sub-section (2), approval of the Ministry of Finance of the Government of Nepal must be obtained.

(4) The capital and administrative expenditure for the operation of the Board shall be borne from the Fund

pursuant to Sub-section (1) based on the annual program and budget approved by the Board.

(5) Other provisions relating to the operation of the Fund of the Board shall be as prescribed. 58.

Accounts and Audit: (1) The accounts of income and expenditure of the Board shall be maintained in the format adopted by the Government of Nepal. (2) The final audit of the Board shall be conducted by the Auditor General. (3) The Board shall make its financial statement public annually. Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081.58A. Permanent Employees: (1) The Office shall have permanent employees according to the posts approved in the organizational structure pursuant to Sub-section (2) of Section 10, in the posts of gazetted second class or equivalent or below. (2) The appointment of employees pursuant to Sub-section (1) shall be made by the Chief Executive Officer upon the recommendation of the Public Service Commission. (3) The appointment procedure, designation, job responsibilities, terms of service, remuneration and facilities of employees appointed pursuant to Sub-section (1) shall be as prescribed, and until so prescribed, as determined by the Board. 59. Other Provisions Relating to Employees Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081.: (1) Other employees required by the Board, other than those mentioned in Section 58A., shall be provided by the Government of Nepal upon the request of the Board. (2) Civil servants deployed on deputation pursuant to Sub-section (1) may be provided facilities by the Board similar to other employees of the Board. (3) Notwithstanding anything contained elsewhere in this Section, the Board may appoint experts on contract for expert services as required. The remuneration and facilities of such experts shall be as mentioned in the contract. 60. Annual Report: (1) An annual report of the work and activities of the Board shall be prepared within six months from the date of expiry of each fiscal year and submitted by the Chief Executive Officer to the Board. (2) The annual report pursuant to Sub-section (1) shall be made public. (3) The report pursuant to Sub-section (1) shall include, among other things, the projects implemented by the Board in that fiscal year, expenses incurred and achievements thereof, the amount of investment approved and number of projects, and improvements to be made in the future. 61. Delegation of Powers: The Board may delegate some of the powers vested in it under this Act to subordinate officials or committees or any body or official of the Government of Nepal Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081.and the Chief Executive Officer may delegate some of the powers vested in him/her under this Act to employees subordinate to him/her. 62.

Compensation to be Paid: (1) If any party, in relation to the implementation of the project, causes loss or damage to another party by doing any act contrary to this Act or the rules or agreement made under this Act, the party causing the loss or damage shall pay a reasonable amount as compensation for such loss or damage to the party suffering the loss. (2) For the purposes of Sub-section (1), the assessment of damages shall be made by an independent valuer. (3) Other provisions relating to assessment of damages and compensation shall be as prescribed. 63. To Accept Grants and Loan Assistance: The Board may accept loan assistance as prescribed, with the consent and coordination of the Ministry of Finance, for the development and implementation of projects determined by the Board and projects of national priority. 64. May Take Action: If any investor fails to comply with the provisions of this Act, the concerned body may, after completing the prescribed procedure, take any or all of the following actions: (a) Stop construction, (b) Cancel the license or permit, (c) Any other similar action. 65. Settlement of Legal Disputes: (1) If any dispute arises between domestic and foreign investors or between the Government of Nepal and a foreign investor regarding foreign investment, such investor shall settle such dispute through mutual discussion or negotiation. (2) If such dispute cannot be settled within forty-five days of its arising pursuant to Sub-section (1), the concerned parties shall settle such dispute through mutual negotiation under the auspices of the

Office. (3) If the dispute cannot be settled through the process under Sub-section (1) or (2) within forty-five days of its arising, and if there is a joint venture or dispute settlement agreement between the parties to the dispute to settle such dispute, the dispute shall be settled in accordance with such agreement. (4) The parties shall inform the Office of the settlement of the dispute pursuant to Sub-section (3) within fifteen days of such settlement. Provided that the parties shall not be obliged to inform the terms on which such agreement was reached. (5) If there is no provision regarding dispute settlement in the agreement between the parties pursuant to Sub-section (3), such dispute shall be settled by arbitration in accordance with the law relating to arbitration of Nepal. (6) Unless the parties to the dispute otherwise agree, any dispute arising in relation to foreign investment shall be settled by arbitration in compliance with the prevailing rules or procedures of the United Nations Commission on International Trade Law (UNCITRAL). (7) Arbitration under this Section shall be held in Nepal, and the substantive law of Nepal relating to arbitration shall apply.

Provided that in the situation under Sub-section (3), it shall be according to the same Sub-section.

(8) If there is no agreement regarding dispute settlement between the parties before the dispute arises, or the existing agreement is felt to be inadequate, the concerned parties may also enter into an agreement for dispute settlement even after the dispute arises. The Office shall be informed of such agreement.

(9) Disputes may be settled under this Section also in respect of an agreement made pursuant to Sub-section (8). 66. Removal of Obstacles: If any obstacle arises in the implementation of this Act, the Government of Nepal may, by an order published in the Nepal Gazette, remove such obstacle. 67. To be According to this Act: Matters written in this Act shall be according to this Act and other matters shall be according to the prevailing law. 68. Contact with Government of Nepal: Amended by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081.(1) The Board shall make contact with the Government of Nepal through the Office of the Prime Minister and Council of Ministers.

(2) Notwithstanding anything contained in Sub-section (1), in the context of project implementation, the Board may directly contact the concerned ministry, body Amended by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.or Provincial Government, Local Level or any other government or non-government institution of the Government of Nepal. 68A. Prior Consent to be Obtained: Added by the Act to Amend Some Nepal Acts Relating to Investment Facilitation, 2081.In the course of implementation of this Act, the Board shall obtain prior consent of the Government of Nepal, Ministry of Finance, on matters creating financial liability for the Government of Nepal. 69. Power to Make Rules: The Government of Nepal may make necessary rules to implement the objectives of this Act, and such rules shall come into effect upon publication in the Nepal Gazette. 70. May Make Procedures and Directives: The Board may, subject to this Act and the rules made under this Act, make necessary procedures and directives, and such procedures or directives shall be published in the Nepal Gazette. 71.